PRACTICE FILE, FICTION. The AI Operator Series, Book 1, Chapter 7.

Sam Rivera's course, its instructor and Bayside Bakery are invented. Copied unchanged from the practice pack's chart lesson.

INTRO TO BOOKKEEPING, EVENING SECTION
Module 4 practice set: Reading an expense chart
Not graded. Bring your answers to class on Thursday.

Use the chart "Bayside Bakery: operating expenses by category" (Module 4 handout, page 2) to answer these questions. Show your math where there is any.

1. What was Bayside Bakery's largest expense category in the third quarter, and how much did the bakery spend on it?

2. Which two categories together make up about three quarters of total expenses? Give their combined dollar amount.

3. Add up the percentage labels on the chart. Do they total 100%? If not, explain why.

4. On average, how much did the bakery pay in rent each month? (Assume rent was the same every month.)

5. A classmate says, "Marketing is so low that the bakery should obviously spend more on it." Can you tell that from this chart? Explain in one or two sentences.

Reminder from the instructor: a chart shows what was spent. It does not show why, or whether the money was well spent. Watch for questions that ask you to go beyond the chart.